

Microsoft gives in?

The software giant allows open source developers to use the .NET framework

Stop piracy

Rampant piracy is the biggest hurdle to widespread adoption of open source software

Mozilla Public licence

This licence is quite suited to commercial purposes as the provisions allow for augmenting the original code with proprietary code and then releasing a larger work that can be commercially licenced. Such proprietary code need not be made publicly available. The proprietary code must be distinctly separate from the original MPL code. It must interact with the original code through predefined APIs. While at the same time all modifications to the original code covered under MPL must be made publicly available.

Business models

Once you start developing with open source it allows for deep market penetration. It is generally believed that customers start paying at the point of value. A famous example is of Facebook. Facebook started with MySQL as it did not have investment to buy a paid data base subscription. The venture used open source tools such as MySQL to give motion to an idea but when patching servers and security bug fixes became unmanageable, Facebook bought a MySQL subscription and paid them to solve the problems. At that point Facebook had a lot of users and angel funding, so Facebook paid for the service at a point where they saw value in it. This in effect is a business model.

When you develop open source applications you allow people to use them, they become part of your business logic, when they start making money, then you start making money. "The logic is - when you empower customers to be able to make money, you start a revenue stream for yourself. For instance many software related enterprises run Firefox across many of their terminals. It's a critical part of their business process, so they invest a lot of their own developers' time, as well as money into the Mozilla Foundation," said Abhishek Kumar who is an open source evangelist and works for with Solaris Outbound Product Marketing to promote developers in the country to work on the OpenSolaris platform.

Business models for open source are many. In fact open source businesses are free to come up with their own business model or make hybrid combinations as follows.

Support sellers

In this type of model the company backing the product distributes the software for free but makes money off things like media distribution, branding, support and training, and even customisation. This is perhaps the most common type of business model. Companies strive to make their installation process simpler by giving customer friendly media, etc. Red Hat is one of the companies that follows this model.

Accessorising

Simply put, this means selling associated paraphernalia to generate revenue. Associated products like books, training manuals and specifically compatible hardware are the more substantial options, but this also includes products like T-shirts, coffee mugs and action figures with product branding.

Dual Licencing

In this type of model software vendors offer the same product under different licences. One is an open source licence and the other is a proprietary licence which the vendor usually offers to enterprise clients. The product released under the open source licence is free to distribute or modify. Some of the most notable examples are of Firefox, MySQL and OpenOffice. It is believed that the open source version serves to popularise the commercial one. Developments of the open source version are offered as add-ons.

The return on investment

The open source developer community is comprised of a large number of students. In many different ways people, specifically students and entrepreneurs, can take advantage of open source. A student's involvement in open source and the learning derived in the process enhances his or her resume and improves employability. Contributions to open source are subjected to extensive peer review and testing, both by developer and user communities, and so for a student contributor, their contribution is testimony to their technical excellence. So, such students attract higher compensation in the industry. "This is particularly relevant in our country where thousands of students graduate every year with a technical degree and contributions to open source projects can be a big differentiator," says Abhishek, whom Digit spoke to in a freewheeling conversation on open source.

Consider this scenario - say a life sciences business is running a sales force automation system developed totally in-house, exclusively on PHP and MySQL, as opposed to a commercial product. As a result of costs being brought down, they are in a position to hire a developer who handles the maintenance. If he/she finds a problem he/she emails the PHP or MySQL community and gets the application running again with their support. If you are

a developer, then such companies going the open source way will be looking for you.

"When you've worked in open source for a certain amount of time you have a brand value to yourself. Eventually you gain a contributor status in the community and people understand that value. What you did in your free time actually gives you a day job."

Those who take the entrepreneurial route can monetise their contribution in multiple ways, such as providing professional services on open source products and solutions and charge for customising and extending current open source products to suit the needs of large enterprises. All this involves working with open source communities and contributing to open source projects. If you have a good understanding of how communities work, you can harness the power of community. With the multitude of communication and distribution channels available today, getting your product out in the market becomes simpler. If your product is good, your customers will find a point at which they find value in your product.

Alternatively, entrepreneurs can make a very viable business only by investing their idea and time with open source. The open source world offers almost all the development tools, such as operating systems, programming languages, databases, IDE's and even source code management systems, free of cost, and so anyone with a product idea can use open source to develop it without

making any significant capital investments. "For instance if you start a business creating and managing websites, you can use technologies like Java EE, MySQL, and Netbeans to develop a product and deploy it on OpenSolaris, which is a free platform" says Abhishek. In this scenario, when the business turns profitable or demands increase beyond what can be handled, there is always the option of going to professional support for each of the concerned technologies.

In conclusion, open source creates an ecosystem for businesses and entrepreneurs to grow, where they need to invest only at the point where they see value. This way the entry

barrier for anyone who wants to break into the business is at an all time low. And this holds good for everyone who uses technology in any form in their business, which is practically everyone in today's world. Thus, harnessing open source technologies, the process of open source development, and engagement with open source communities would prove to be a great advantage for developers and bring both direct and indirect revenues to both small as well as large entrepreneurs. ■

Read
Chapter 1.2 of this month's Fast Track to open source software for operating licences



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